

DIGITALAIKART

THE INDIAN STOCK MARKET STARTER PLAYBOOK

2026-27 Edition

How to open your demat, buy your first share, read a company's numbers, build a portfolio that can survive a crash — and sidestep the trap that has cost Indian investors Rs 1.8 lakh crore.

*Verified against SEBI, NSE, BSE, AMFI, CDSL, NSDL and the Income-tax Act, 2025
Facts current as of October 2026*

Before you read a single page

This playbook is education, not investment advice. Nothing here is a recommendation to buy or sell any security, and no return is promised or implied. Equity markets carry risk: the price of a share can fall, and you can lose part or all of what you invest. SEBI's own studies — quoted inside — show that most individuals who trade derivatives and intraday lose money. This book exists to help you understand the machinery so you can make your own, better-informed decisions.

Who this is for

A first-time investor in India — a salaried professional, a student who just opened a demat account, a homemaker building a nest egg, or anyone who has been told to “start investing” and does not know where the on-switch is. If you already trade for a living, this is not your book.

How to use it

Read Part 1 and Part 2 before you put a single rupee in the market. Parts 3 to 6 are the working chapters — how the market works, how to read a company, how to place an order, and what the tax man will ask for. Part 7 shows you how to assemble a portfolio. Part 8 is the safety chapter; do not skip it. Part 9 tells you exactly how to check that anyone giving you a tip is actually registered, and ends with a 90-day plan you can follow from today.

A note on the numbers

Every figure in this book is taken from an official source: SEBI studies and circulars, NSE and BSE notices, AMFI categorisation, CDSL and NSDL disclosures, and the Income-tax Act, 2025 as amended by the Finance Act, 2026. Where a figure changes over time — like market-cap cut-offs — we say so and give the period it covers. The source list is at the back.

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PART ONE

Why this moment

India just became a nation of investors — and the rules changed with it

1. India just became a nation of investors

Two numbers tell you why this book exists. At the end of August 2026, India held about 23.77 crore demat accounts — 19.10 crore at CDSL and 4.67 crore at NSDL. The National Stock Exchange counted 13.4 crore unique registered investors by July 2026, and its unique trading accounts crossed 26 crore in June. A country that once put its savings in gold, fixed deposits and land now owns shares at a scale no one predicted a decade ago.

The investor is younger than you think. The median age of an NSE investor has fallen to about 33, from 36 in FY 2021, and roughly 40 percent of registered investors are under 30. Participation has spread far beyond the metros — NSE investors now live across 99.85 percent of India's pin codes. The monthly SIP habit has spread with it: India crossed 10.02 crore contributing SIP accounts in August 2026, with monthly contributions of about Rs 32,297 crore.

This wave is real, and it is mostly a good thing. But a demat account is not a plan. Opening one takes ten minutes; knowing what to do with it takes a little more. That gap is where this book lives.

What the boom does not tell you

Rising account numbers hide a second story. Of the 23.77 crore accounts, only about 19 percent are active — the rest sit idle. And the newest investors are also the most exposed to the riskiest corners of the market, which is exactly what Part 8 is about. The opportunity is genuine; so is the need to learn the basics before the first trade.

2. Three doors into the market — and why this book is about the third

Almost every Indian who invests in equity does it through one of three doors. They are not equally risky, and they are not interchangeable.

The first door is mutual funds, where a professional manager pools your money and buys a basket of shares for you. You choose a scheme; you do not pick individual stocks. The second door is the IPO, where you apply for shares of a company the day it lists. The third door — the one this book is built around — is direct equity: you choose the company, you buy its shares on the exchange, and you own a slice of a real business.

Direct equity is the door that rewards understanding most, and punishes ignorance fastest. When you buy a mutual fund, one bad stock is buried inside hundreds. When you buy one share, it is not buried — it is your whole position. That is the power and the danger of doing it yourself.

Where this book fits

If you already invest through mutual funds, this playbook will not replace that — an index fund is still the simplest first step, and Chapter 13 explains why. What it will do is teach you how the direct-equity door actually works: how a share is priced, how a company's numbers are read, how an order is placed and settled, and what the tax office expects. Those skills do not expire.

3. The two numbers SEBI published that you must see first

Before any enthusiasm, sit with the regulator's own data. SEBI has studied how individual traders fare, and the results are uncomfortable.

In the equity derivatives (futures and options) segment, 91.1 percent of individual traders lost money in FY 2024. In FY 2026, 87.7 percent still lost, with aggregate net losses of about Rs 91,685 crore and an average loss of roughly Rs 1.17 lakh per trader. Over the three years FY 2022 to FY 2024, 1.13 crore unique individuals together lost a net Rs 1,81,383 crore — and only 7.2 percent of them made any profit across that whole period.

Intraday cash trading fares no better. SEBI found that 71 percent of individual intraday traders lost money in FY 2023, up from 65 percent in FY 2019. Among the most frequent traders, 80 percent lost. Among those with annual turnover above Rs 1 crore, 76 percent lost.

The lesson is not that the market is rigged. It is that the market rewards patience and punishes activity. The transaction costs alone — brokerage, STT, exchange fees, GST — cost individual F&O traders roughly Rs 25,000 crore in FY 2026, and about Rs 1 lakh crore cumulatively from FY 2022 to FY 2026. Every extra trade hands a slice of your money to someone else.

What this means for you

This book teaches long-horizon investing in shares you intend to hold, not speculation in contracts you intend to flip. If you take one thing from this chapter: the odds are set by how often you trade, and they improve sharply when you trade rarely, in things you understand, and hold for years.

SEBI study	What it found
Individual F&O traders, FY 2024	91.1% incurred net losses
Individual F&O traders, FY 2026	87.7% lost; average loss about Rs 1.17 lakh
Individual intraday traders, FY 2023	71% incurred net losses (80% for very frequent traders)
F&O transaction costs, FY 2026	About Rs 25,000 crore paid by individuals

PART TWO

Get set up

Open the account, understand the charges, name a nominee

4. Opening your demat and trading account

Two accounts work together. The demat account holds your shares electronically; the trading account is what you use to place buy and sell orders. Most brokers open both at once, and for a resident individual the whole thing is done online in a few minutes.

What you need

Keep five things ready: your PAN (mandatory, and it must match your Aadhaar spelling exactly), an Aadhaar linked to an active mobile number for OTP-based e-KYC, a bank account in your own name with its IFSC, a clear photograph, and a smartphone or laptop with a camera. A cancelled cheque or bank statement is often accepted as bank proof.

The steps

- 1 Choose a SEBI-registered broker or depository participant. Compare annual charges, platform quality and support, not just the opening fee.
- 2 Enter your details on the broker's app or website — name, PAN, mobile, email, address.
- 3 Complete Aadhaar-based e-KYC. An OTP is sent to the mobile number linked to your Aadhaar.
- 4 Upload PAN and bank proof. Most details are auto-fetched from Aadhaar and CKYC records.
- 5 Finish In-Person Verification (IPV) — a live selfie or short video call. SEBI requires this even for fully digital onboarding.
- 6 E-sign the account-opening agreement using Aadhaar-based e-signature.
- 7 Wait for activation. Most digital applications go live within a few hours to one business day.

Common reasons applications stall

A spelling mismatch between PAN and Aadhaar, a mobile number not linked to Aadhaar, an expired address proof, or a bank account that is not in your own name. Fix these before you start and the account opens the same day.

5. The charges that quietly eat your returns

A share price is only half the story. Every trade carries a small stack of costs, and across a year they add up. Knowing them is how you stop paying more than you must.

Brokerage and annual maintenance

Discount brokers usually charge zero account-opening fees and a flat brokerage per executed order — often zero for equity delivery, and a small flat fee for intraday. Full-service brokers charge percentage-based brokerage and higher annual charges, in return for research and a relationship manager. The charge that surprises beginners is the annual maintenance charge (AMC) on the demat account. Under SEBI's Basic Services Demat Account (BSDA) rules, AMC is waived entirely when the value of your holdings is up to Rs 4 lakh, and is capped when holdings are between Rs 4 lakh and Rs 10 lakh. Confirm with your broker that you are on a BSDA if your portfolio is still small.

The statutory costs on every trade

Charge	Rate (from 1 April 2026)	Who pays
STT — equity delivery	0.1% (Rs 100 per lakh)	Both buy and sell
STT — equity intraday	0.025%	Sell side only
STT — options (sold)	0.15% of premium	Seller
STT — futures	0.05%	Sell side only
Stamp duty (delivery)	0.015%	Buy side
Exchange transaction charge	About 0.00297%	Both sides
GST	18% on brokerage + transaction charge	Both sides
SEBI turnover fee	0.0001%	Both sides

Note the STT rises on options and futures from 1 April 2026, when the Finance Act, 2026 lifted the option rate to 0.15 percent and the futures rate to 0.05 percent. Equity delivery STT stayed at 0.1 percent. For a long-term investor buying and holding delivery shares, these costs are small; for an active trader, they are the reason the house wins.

6. The nominee rule you must not skip

From 1 September 2026, SEBI requires every new single-holder demat account to either name a nominee or formally record an opt-out at the time of opening. It takes under a minute during onboarding, and it saves your family from a long, painful transmission process later.

If you skip it now, you can add a nominee afterwards — but the paperwork is one more task people postpone indefinitely. Do it while you are already filling the form. A nominee is not the same as an owner; the shares still belong to your estate. The nominee simply receives them and holds them for the rightful heirs, which is the difference between a week of settling and a year of it.

PART THREE

How the market actually works

Exchanges, indices, market caps, orders and settlement

7. Exchanges, indices and what a share really is

A share is a unit of ownership in a company. When you buy one share of a listed company, you own a small piece of its factories, its brand, its profits and its debts. That is the whole idea, and it is worth holding on to when the price on your screen jumps around.

Where shares change hands

Two exchanges dominate India: the National Stock Exchange (NSE) and the BSE. Both are regulated by SEBI. A share is listed on one or both, and its price is discovered by matching buyers and sellers through brokers. You never deal with the exchange directly; your broker does that for you.

The indices are the market's shorthand

An index tracks the performance of a group of shares. The Nifty 50 follows 50 large companies on the NSE; the Sensex follows 30 on the BSE. When the news says “the market rose today”, it means an index rose — not that every share did. Indices are useful yardsticks: if your portfolio cannot beat the Nifty 50 over many years, a simple index fund would have done the job for less.

Trading hours and the trading week

Normal equity trading runs from 9:15 a.m. to 3:30 p.m. on weekdays, with a pre-open session before the bell. Markets are closed on weekends and on exchange holidays. Prices can be volatile in the first and last half hour; many patient investors simply avoid placing market orders then.

8. Large, mid, small — the official map of the market

India has more than 5,000 listed companies. To make sense of that crowd, SEBI defined three buckets by size, and AMFI publishes the list twice a year based on six-month average market capitalisation.

Category	Rank by market cap	July 2026 cut-off	Character
Large cap	1 to 100	Above about Rs 1,06,300 crore	Biggest, most liquid, usually steadier
Mid cap	101 to 250	About Rs 33,500 crore to Rs 1,06,300 crore	Established, growing, more volatile
Small cap	251 onward	Below about Rs 33,500 crore	Long runway, sharper falls and thinner trading

Two things follow. First, these cut-offs move every six months, so a company can change bucket without doing anything. Second, “small cap” does not mean a tiny business — the 251st largest listed company in India is still a substantial firm. It simply sits outside the top 250.

Why the bucket matters

Size and risk travel together, but not in the direction beginners expect. Large caps tend to fall less in a panic; small caps can fall 40 or 50 percent and take years to recover. A portfolio weighted heavily to small caps can look brilliant in a bull run and devastating in a downturn. Chapter 19 shows how to balance the three.

9. Orders, circuits and settlement

The order is your instruction to the broker. Choosing the right type is the difference between buying the share you wanted and buying it at a price you did not.

Order type	What it does	When to use it
Market order	Buys or sells immediately at the best available price	Fast-moving, liquid large caps
Limit order	Only trades at your price or better	Almost always — you control the price

Order type	What it does	When to use it
Stop-loss (SL)	Triggers a market or limit order when a price is hit	Protecting a position
GTT	A Good-Till-Triggered order that waits days or weeks	Buying on a dip without watching all day

Circuit limits

Most shares have daily price bands — often 20 percent for larger companies, narrower for others. If a share hits its upper or lower circuit, trading in it can freeze. This protects against wild swings, but it also means you may not be able to sell at any price on a very bad day. It is one more reason not to put everything in one volatile stock.

Settlement: when the share actually becomes yours

India runs on a T+1 settlement cycle — trades settle one business day after the trade. That means if you buy on Monday, the shares are in your demat account by Tuesday, and if you sell, the money reaches your bank on the next business day. SEBI also runs an optional same-day T+0 cycle for a limited set of the top 500 shares, which lets delivery investors settle on the same day. For a long-term investor, T+1 is simply the rhythm of the market and nothing to worry about.

10. What actually moves a share price

Over a single day a share price moves on mood; over ten years it moves on profit. That one sentence is the most useful thing in this book. The short run is a voting machine, where prices swing on opinion and news. The long run is a weighing machine, where prices settle on what a business actually earns.

Four forces do almost all the moving

- **Earnings.** A company's profit. A business that earns more every year will, over time, be worth more. This is the force you can actually study.
- **Expectations.** What investors already believe will happen. A strong result can still send a share down if the market expected stronger. This is why results are often a “sell the news” event.
- **Interest rates.** When the RBI lowers the repo rate, borrowing gets cheaper and deposits pay less, which tends to nudge money toward shares. Higher rates do the reverse. The link is real but loose, and never immediate.
- **Flows.** When large institutions buy or sell in size, prices move with them. The steady flow of monthly SIP money has become a quiet domestic cushion for the Indian market.

Why you cannot time it

If anyone could reliably predict next month's price, they would be the richest person alive. They are not. Teams with the fastest data and the biggest research budgets still get it wrong constantly. What you can control is not the price — it is what you own, what you pay for it, and how long you hold it. Spend your energy there.

PART FOUR

Read a company

The numbers, the screener, and the red flags

11. The eight numbers that tell most of the story

You do not need to read a 200-page annual report to begin. Eight numbers, understood properly, will take you further than most beginners ever get.

Number	What it means	A quick read
Market cap	Share price x number of shares — the size of the company	Bigger is not better; it is just bigger
P/E ratio	Price divided by earnings per share	How many rupees you pay per rupee of profit
P/B ratio	Price divided by book value per share	Useful for banks and asset-heavy firms
ROE	Profit as a percentage of shareholders' money	Consistently above 15% is a good sign
ROCE	Return on the capital actually employed	Shows how efficiently the business runs
Debt / equity	Borrowings compared with owners' money	High debt magnifies both good and bad years
Dividend yield	Annual dividend as a percentage of price	Income today, not growth tomorrow
Growth	Revenue and profit, year on year	The engine — is it speeding up or slowing?

A word on the P/E

The P/E is the most quoted and most misused number in the market. A high P/E is not automatically expensive and a low P/E is not automatically cheap. A P/E of 60 means investors expect profits to grow fast; if they do not, the price falls. A P/E of 8 can mean a bargain, or it can mean the market expects profits to shrink. Always ask why a number is what it is before you act on it.

12. How to read a quarterly result in five minutes

Listed companies report their numbers every quarter. You do not need to read every line. Four numbers and one paragraph will tell you most of what matters.

- 1 Revenue.** Total sales for the quarter. Compare it with the same quarter last year, not the previous quarter — many Indian businesses are seasonal.
- 2 Net profit.** What is left after all costs and tax. Again, year on year.
- 3 Operating margin.** Profit as a percentage of sales. A rising margin means the business is getting more efficient; a falling margin is an early warning even if profit still grew.
- 4 The commentary.** Management's own words on demand, order books and the road ahead. Check whether it matches the numbers — a cheerful commentary over weak numbers is a red flag.

Two things that trip people up

First, one-off items. A land sale, a foreign-exchange gain or a tax refund can make a single quarter look far better than the underlying business. Look at the profit before exceptional items. Second, the market's reaction. A share often moves on how the result compared with expectations, not on whether it was good in absolute terms. Do not confuse a falling price after a decent result with a bad business.

13. How to use a screener in twenty minutes

A stock screener is a website or app that filters thousands of listed companies by the numbers you care about. It turns the whole market into a shortlist you can actually read. This is a starting filter, not a buy list.

- 1 Set a market-cap floor. If you are new, keep to companies above about Rs 20,000 crore market cap — the top few hundred, which are liquid and better researched.
- 2 Filter for profitability. Require positive profit in the last three financial years. Companies that lose money every year are not value; they are hope.
- 3 Filter return on equity above 12 to 15 percent over five years. You want businesses that earn well on the money they use.
- 4 Filter debt-to-equity below about 1, except for banks and financials, where you judge them differently.
- 5 Sort by sales and profit growth over five years. Steady compounders beat one-off spikes.
- 6 Read the last two annual reports and the most recent quarterly result of your final ten names. If you cannot explain in one sentence how the company makes money, drop it.
- 7 Write down the price at which each of your final five would be a fair buy — and wait. Patience is the edge the market gives individuals.

The screener is a sieve, not an answer

It removes obvious rubbish. It does not tell you whether the management is honest, whether the industry is about to be disrupted, or whether the price already bakes in years of perfection. That work is yours, and it is why you keep positions small while you are learning.

14. Red flags that should stop you cold

Some warnings are so consistent that you can act on them before you understand the business at all.

- A company that keeps raising money from shareholders while never generating cash of its own.
- Promoter shareholding falling steadily, or shares repeatedly pledged by promoters as collateral for loans.
- Auditor resignations, or a string of qualified audit opinions.
- Related-party transactions that move money to entities owned by the promoters.
- Earnings that appear only in the last quarter of the year, year after year.
- A sudden, unexplained run-up in price on social-media hype rather than results.
- A business you cannot explain to a friend in two sentences.

When in doubt, do nothing

There are always more shares than you can own. Passing on a doubtful company costs you nothing; owning one costs you real money. The best investors are not the ones who say yes most often — they are the ones who say no well.

PART FIVE

Choose and buy

Index first, then the filter, then your first order

15. Start with the index, not the story

If you are opening your first account, the honest advice is to begin with an index fund or ETF that tracks the Nifty 50, and learn the market from inside it. An index fund buys all 50 companies for you, charges very little, and removes the single biggest risk a beginner faces: putting everything into one share you were excited about.

This is not a retreat from direct equity — it is the training ground for it. While your index holding does the quiet work of compounding, you study a handful of companies with real money you can afford to lose, and you learn how your own temperament behaves when the screen turns red. Most people discover that the hardest part of investing is not picking shares; it is doing nothing when everyone else is panicking.

Index versus stock — an honest comparison

	Index fund / ETF	Direct stock
Effort	Very low once set up	Ongoing research
Risk of one company	Spread across 50	Concentrated in one
Cost	Low expense ratio	Brokerage plus your time
Control	You accept the market return	You aim to beat it
Best for	A first portfolio, and a core holding	A satellite once you have learned

16. The five-question filter and position sizing

Before you buy any single share, put it through five questions. If you cannot answer all five, you are not ready to buy it.

- 1 How does this company make money? One clear sentence, no jargon.
- 2 Why will it still be earning in ten years? Name the reason it survives competition.
- 3 What could go wrong? Name the two biggest risks out loud.
- 4 Is the price reasonable? Compare its P/E and P/B with its own history and its peers.
- 5 Would I be comfortable if it fell 30 percent? If not, the position is too big.

Position sizing: the rule that saves portfolios

Never let a single stock be more than about 5 to 10 percent of your equity portfolio while you are learning, and never put money you will need within three years into shares. If a position is small enough that a 50 percent fall would annoy you but not change your life, you have sized it correctly. If a fall would force you to sell something else, it is too big.

Average up, not down, until you know better

Beginners are taught to buy more of a share when it falls — averaging down. It feels clever and it is how small mistakes become large ones. Adding to a winner whose story is intact is usually wiser than throwing good money after a loser whose story has broken. Average down only when the business is fine and the price is the only thing that changed.

17. Placing your first order, step by step

Here is the whole sequence, from cash in your bank to a share in your demat account.

- 1 Transfer funds from your bank to your trading account. UPI-based transfers are usually instant and free.
- 2 Search the company by its NSE or BSE symbol — for example, the ticker shown on the exchange, not the brand name.
- 3 Choose a limit order. Enter the quantity and the highest price you are willing to pay.
- 4 Review the estimated charges shown before you confirm. On delivery trades, brokerage is often zero, but STT, stamp duty and GST still apply.
- 5 Place the order. If your limit is at or above the market price, it usually fills within seconds. If it does not fill, the order sits in the book until you cancel it.
- 6 Check your order book and holdings. On T+1, the shares appear in your demat account the next business day.
- 7 Download or email yourself the contract note for that day. It is your proof of purchase and you will want it at tax time.

A habit that pays for itself

Keep a simple one-line note for every purchase: the date, the price, the number of shares, and one sentence on why you bought. When the price moves, that sentence is what stops you from selling in a panic or holding out of stubbornness. It is also the record you will need when you sell.

18. Dividends, bonus, splits and buybacks

Four events change the number of shares you hold or the cash you receive, without you buying or selling anything. Beginners find them confusing because the price moves at the same time. Here is what each one actually does.

Event	What happens	Effect on you
Dividend	Cash paid per share from profit	You receive money; taxed at your slab rate
Bonus issue	Free extra shares in proportion	More shares, lower price, same value
Stock split	Face value divided; more shares	Same value; no tax at the time
Buyback	Company buys its own shares	You may sell at a premium; treated as capital gains

- **Dividends** are taxed in your hands at your slab rate, and the company deducts tax at source once the dividend from it crosses Rs 5,000 in a year.
- **Bonus shares and splits** do not change the value of what you own at the moment they happen — the price adjusts automatically. You do not pay tax simply for receiving them.
- **Buybacks** moved back to capital-gains treatment from 1 April 2026 under Section 69 of the Income-tax Act, 2025, so the profit on shares you sell back is taxed as a capital gain.

What to do about them

Nothing, usually — your broker updates the quantities and your average cost automatically. But after any corporate action, glance at your holdings to confirm the change has been applied, and keep the note. Your tax computation at year-end depends on accurate records.

19. When to sell — the exit rules

Buying is the easy half. Selling is where emotion is loudest and where most long-term returns are quietly given away. Decide your exit rules before you need them.

Three good reasons to sell

- 1 The business broke. The reason you bought — a growing market, a strong brand, honest management — no longer holds.
- 2 The price became absurd. Valuation has run far beyond anything the business could justify, even on optimistic assumptions.
- 3 You need the money for a planned goal. This is not failure; it is the point of investing.

Three bad reasons to sell

The price fell. The news is frightening. Someone on social media said so. None of these tells you anything about the business — and acting on them is exactly how investors turn a temporary fall into a permanent loss.

Write the rules down

Before you buy, write one line: what would make you sell. A margin that collapses for three quarters, a debt level that crosses a line, a management you stop trusting. When those happen, sell without drama. When they do not, do nothing — however loud the market gets.

Two final cautions

First, tax timing. Holding beyond twelve months moves a gain from 20 percent to 12.5 percent with the Rs 1,25,000 exemption, so a sale planned for week 51 is worth waiting a fortnight. Second, and harder: the biggest returns come from the few shares that compound for a decade. Selling a good business simply because it doubled can cost you the next ten years of that compounding. Sell when the reason is broken, not when the price is high.

PART SIX

Taxes and the real cost of a trade

What the tax office expects in FY 2026-27

20. Capital gains tax for FY 2026-27

From 1 April 2026, gains are taxed under the Income-tax Act, 2025, which replaced the 1961 Act. The rates did not change — only the section numbers did. Here is the picture for listed shares and equity mutual funds.

Holding period	Gain	Tax rate	Section (2025 Act)
12 months or less	Short-term	20% flat, plus 4% cess	Section 196 (old 111A)
More than 12 months	Long-term	12.5% on gains above Rs 1,25,000 a year	Section 198 (old 112A)

- **Holding period.** Twelve months for listed shares and equity mutual funds. Sell on day 365 and the gain is long-term; sell on day 364 and it is short-term. One day can change the tax rate.
- **The Rs 1,25,000 exemption.** The first Rs 1,25,000 of long-term gains each financial year is exempt. It is a single yearly figure across all your equity holdings, not per share.
- **STT condition.** The 20 percent and 12.5 percent rates apply only where Securities Transaction Tax was paid — that is, on exchange trades. An off-market sale is taxed at your slab rate instead.
- **No indexation.** On listed equity there is no benefit for inflation. You compare the sale price with your actual cost.
- **Grandfathering.** Shares bought before 1 February 2018 get a protected cost base, so gains that had already built up by that date are not taxed under the long-term rule.
- **Losses can be set off.** A short-term loss can offset a short-term or long-term gain; a long-term loss can offset only a long-term gain. Unused losses can be carried forward for eight years if you file your return on time.

Filing and advance tax

Capital gains go in ITR-2 (or ITR-3 if you also have business income). If your total tax due after TDS is Rs 10,000 or more in a year, advance tax applies, payable in instalments through the year. Your broker's annual profit-and-loss statement and the Annual Information Statement (AIS) on the income-tax portal are the two documents to reconcile before you file. This is general information, not tax advice — a chartered accountant is worth the fee the first year you have gains to report.

21. The real cost of one trade, worked out

Costs feel invisible on a screen. Let us make them visible. Suppose you buy 100 shares at Rs 500 — Rs 50,000 in total — hold them for two years, and sell at Rs 700.

Item	Amount	Note
Purchase value	Rs 50,000	100 x Rs 500
STT on purchase (0.1%)	Rs 50	Buy side
Stamp duty on purchase (0.015%)	Rs 8	Buy side
Sale value	Rs 70,000	100 x Rs 700
STT on sale (0.1%)	Rs 70	Sell side
Gross gain	Rs 20,000	Rs 70,000 – Rs 50,000
Less transaction costs	About Rs 150	STT, stamp duty, brokerage, GST
Taxable long-term gain	Rs 20,000	Held more than 12 months

If this is your only long-term gain of the year, the Rs 1,25,000 exemption covers it and you pay no capital gains tax. If you have already used the exemption, the Rs 20,000 is taxed at 12.5 percent, or Rs 2,500, plus 4 percent cess — about Rs 2,600. Your net gain is roughly Rs 17,250 on a Rs 50,000 investment, about 34 percent over two years.

Now imagine you had traded in and out twenty times instead. Each round trip pays STT on both sides, brokerage, and GST, and each short-term gain is taxed at 20 percent. The same share, the same price move, a far smaller outcome. Costs are the silent partner in every trade — and the quieter your portfolio, the smaller its share.

PART SEVEN

Build the portfolio

Foundations, allocation, and surviving a crash

22. The foundations before any equity

Equity is the top floor, not the ground floor. Build the two things underneath it first, or a bad year will force you to sell at the worst time.

One: an emergency fund

Keep three to six months of living expenses in a savings account or liquid fund that you can reach in a day. This is not an investment; it is the buffer that stops a job loss or a medical bill from becoming a forced sale of your shares.

Two: protection

A term life insurance policy, if anyone depends on your income, and a health insurance policy for you and your family. Buying insurance to “invest” — endowment and money-back plans — mixes two jobs and usually does both badly. Keep insurance as insurance and investing as investing.

Only then, equity

With the buffer in place and protection bought, money you will not need for at least five years can go into shares, where it has time to ride out the bad years. Money you will need sooner belongs in deposits or debt funds, whatever the market is doing.

23. Asset allocation and the Rs 5,000-a-month plan

Asset allocation is the split of your money between shares, debt and cash. It is the single biggest driver of how bumpy your journey feels, more than which shares you pick. A simple, widely used starting point is the “100 minus age” guide: if you are 30, hold about 70 percent in equity and 30 percent in safer assets. Adjust for your own comfort — the best allocation is the one you can hold through a crash without selling.

A worked monthly plan

Monthly surplus	Equity index fund	Direct stocks (learning)	Debt / safe
Rs 5,000	Rs 3,500	Rs 1,000	Rs 500
Rs 10,000	Rs 6,500	Rs 2,000	Rs 1,500
Rs 25,000	Rs 15,000	Rs 6,000	Rs 4,000

The logic: the index fund is your core and does the compounding while you learn. The direct-stock slice is deliberately small — real money, but not money that can hurt you. As your skill and confidence grow, you can shift the split. Most people never need to shift it much, and that is fine.

Inside your equity, spread the risk

Aim for a mix across the three market-cap buckets — a large-cap or index core, a slice of mid caps, and a small slice of small caps. Spread across sectors too: if all your shares are banks or all are IT, one bad year for that sector is a bad year for you. Five to fifteen well-understood holdings is plenty for a beginner.

24. Rebalancing, and how to behave in a crash

Rebalancing means restoring your target split once a year. If equity has run up and now dominates, you trim it back and top up the safer side. This quietly forces you to sell a little when prices are high and buy a little when they are low — the opposite of what fear tells you to do.

The crash is the test

Every investor eventually meets a fall of 20, 30 or 40 percent. It is not a sign you did something wrong; it is the price of admission for long-term returns. What you do in that week matters more than everything else in this book.

- Do not sell in a panic. Selling locks in the loss and removes the recovery.
- Do not check prices every hour. The screen is a machine for manufacturing anxiety.
- Keep investing on schedule. A monthly SIP keeps buying through the fall, which lowers your average cost.
- Re-read your one-line note for each share. If the business is intact, the price is noise.
- If you have spare cash and a strong nerve, a market fall is when good shares go on sale.

The investor who wins is the one who is still there

Compounding needs two ingredients: a reasonable return, and a very long time. The second is the one people give away by selling at the bottom. The market has rewarded the patient and punished the frantic for a century. Nothing in this book matters as much as that sentence.

PART EIGHT

The traps

Derivatives, tips, hype and your own mind

25. Futures, options and intraday — why the maths is against you

The products with the biggest advertised upside are the ones with the worst odds. This is not opinion; it is the regulator's data.

Futures and options let you control a large position with a small amount of money. That leverage cuts both ways: it multiplies losses as fast as gains, and a wrong move can wipe out more than you put in. SEBI's studies show that 91.1 percent of individual F&O traders lost money in FY 2024 and 87.7 percent in FY 2026, with average losses above Rs 1 lakh. Over FY 2022 to FY 2024, individual traders lost a net Rs 1,81,383 crore, and only 7.2 percent made any profit across the whole period.

Intraday trading — buying and selling the same day — is gentler but no kinder: 71 percent of individual intraday traders lost money in FY 2023, rising to 80 percent among the most frequent traders. The reason is arithmetic. Every trade pays STT, brokerage and GST, so a strategy has to beat the market plus its own costs just to break even. The house takes its cut whether you win or lose.

What to do instead

If you want to learn derivatives, do it on paper first, for at least six months, and never with borrowed money. But know this: for almost everyone reading this book, the honest answer is to stay in the cash market, buy shares of real businesses, and hold them. The boring path is the one that works.

A worked contrast

Two people invest Rs 1,00,000 on the same day. The first buys a basket of large companies and leaves it alone for a decade. The second trades in and out of derivatives, averaging a few trades a week. SEBI's data tells us how that usually ends: the trader pays costs on every move, and most individual traders finish the year with a net loss, while the patient investor has simply owned a slice of India's growth. The difference is not intelligence. It is activity.

The same Rs 50,000, three ways

Approach	What you pay	What you keep
Buy and hold two years	About Rs 150 in STT, stamp duty and charges	12.5% tax only above Rs 1,25,000 of yearly gains
Buy and sell twenty times	STT and charges on every leg, plus GST	20% tax on each short-term gain
Trade derivatives	STT, brokerage and GST on every contract	Most individual traders finish the year at a net loss

26. Tips, Telegram and 'sure-shot' calls

If someone guarantees you a return in the stock market, they are either breaking the law or lying to you — usually both. Only SEBI-registered investment advisers and research analysts may give personalised buy and sell advice for a fee, and even they cannot promise returns.

This is not a hypothetical. In April 2026, SEBI penalised operators of Telegram channels called “Intraday Jackpot” and “Professional Day Trading Institute” for running unregistered advisory services. They had collected about Rs 9.02 crore in fees, claimed assured returns and false certifications, and were fined a total of Rs 40 lakh and barred from the market for two years, with orders to refund investors.

The pattern is always the same

- A free channel hooks you; the paid channel “guarantees” profits.
- Screenshots of winning trades — the losers are never shown.

- Pressure to act fast, before the “call” expires.
- Requests to pay into a personal account, UPI ID or wallet.
- Promises of “assured” or “fixed” returns, which no honest adviser makes.

The rule is simple

Before you pay anyone for advice, check their registration on the SEBI website (Chapter 25 shows you how). No registration, no payment — however convincing the screenshots look.

27. Pump-and-dump, penny stocks and SME hype

Some traps do not need a guru. They run on a story that spreads faster than the truth.

Pump-and-dump works like this: a group quietly buys a thinly traded share, then floods social media and messaging apps with hype about a “multibagger”. New buyers push the price up; the group sells into that demand; the price collapses and the last buyers are left holding the loss. The share is usually tiny, with almost no real business behind it.

Penny stocks — shares priced at a few rupees — are where this happens most. A low price feels like a bargain, but a low price often reflects a small, weak or troubled company. “Cheap” and “good value” are not the same thing.

Newly listed small-company (SME) shares deserve their own caution. They can rise spectacularly on listing and fall just as fast, and they trade far less liquidly than mainboard shares, so selling in a hurry can be hard. Treat any share that doubles in days on no news as a warning, not an opportunity.

The defence

Stick to companies with real revenue, real profits, real disclosure, and enough trading volume that you can exit when you choose. If a share is only interesting because it is cheap and everyone is talking about it, that is the whole case against it.

28. Your own brain — the seven mistakes that cost the most

The market's biggest opponent is not a fund or an algorithm. It is the part of you that wants to act when you should wait.

- 1 **Panic selling.** Selling into a fall locks in the loss and misses the recovery.
- 2 **FOMO.** Buying because something is rising and you fear missing out — usually near the top.
- 3 **Averaging down blindly.** Adding to a loser whose business has actually broken, not just its price.
- 4 **Overtrading.** The urge to do something. Activity feels like progress and costs real money.
- 5 **Confusing a rising market with skill.** In a bull run, everyone looks like a genius.
- 6 **Concentration.** One share, one sector, or one tip carrying the whole portfolio.
- 7 **Borrowing to invest.** Leverage turns a normal drawdown into a forced sale.

The antidote is a written plan

Decide in advance what you will own, how much of each, and what would make you sell. Write it down before you buy. When the market gets loud, your plan is the calm voice you cannot hear from anyone else.

None of these mistakes is unusual. Every experienced investor has made several of them. What separates the ones who do well is not that they avoid mistakes, but that they build habits — a written plan, a fixed

monthly investment, a rule against checking prices daily — that make the mistakes harder to commit. Discipline, not brilliance, is the edge.

A last word on patience

The market pays for patience and charges for impatience. Every rupee of cost you avoid, every year you stay invested, and every panic you refuse to act on compounds in your favour. You do not need to be clever to do well in the stock market. You need to be steady.

PART NINE

Verify, protect, and begin

How to check a registration, and your first 90 days

29. How to check that anyone advising you is registered

SEBI keeps a public database of every registered intermediary. Checking it takes two minutes and can save you a fortune.

- 1 Go to the SEBI website and open the intermediaries database.
- 2 Search the person or firm's name. A genuine investment adviser is registered under the Investment Advisers Regulations, 2013; a research analyst under the Research Analysts Regulations, 2014.
- 3 Look for the registration number, its validity, and the exact name. A registered entity must display all of this prominently on its website and app.
- 4 Be suspicious of anyone who is not in the database but is charging you for buy and sell calls.

If something goes wrong

SEBI runs a central grievance system called SCORES, at scores.sebi.gov.in, where you can lodge a complaint against a listed company or an intermediary. Keep your contract notes, payment receipts and chat records — they are what a complaint is built on. And never share your OTP, password, or demat credentials with anyone, however official they sound. No genuine broker or adviser will ever ask for them.

30. Your first 90 days — a dated plan

Here is a plan you can start this week. It is deliberately slow, because slow is what works.

Days	Do this
1 to 10	Open a demat and trading account with a SEBI-registered broker. Name a nominee. Confirm you are on a BSDA if your holdings will be small.
11 to 20	Build your emergency fund target and buy term and health insurance if you do not have them. Read Part 3 again.
21 to 35	Start a monthly index-fund SIP, however small. Set up an auto-debit so it happens without you.
36 to 50	Use the screener in Chapter 11 to build a watchlist of ten companies. Read their last two annual reports.
51 to 65	For five of them, write the five answers from Chapter 14. Drop any you cannot answer.
66 to 80	Place your first delivery buy in one company — a small amount you can afford to lose. Keep the contract note and your one-line reason.
81 to 90	Set a yearly rebalancing date in your calendar. Re-read Part 8. Then, for most months, do nothing at all.

The one habit that matters most

Invest a fixed amount every month, buy things you understand, hold them for years, and ignore the noise in between. That is the whole game. Everything else in this book is detail.

APPENDICES

Reference

Glossary, worksheets, questions and sources

Appendix A. Glossary of the terms you will meet

Term	Meaning
Demat account	An electronic account that holds your shares
Trading account	The account you use to place buy and sell orders
Broker	A SEBI-registered firm that executes your orders on the exchange
DP	Depository Participant — the entity that maintains your demat account
Market cap	Share price multiplied by the number of shares
P/E ratio	Price divided by earnings per share
P/B ratio	Price divided by book value per share
ROE	Return on equity — profit as a share of owners' money
ROCE	Return on capital employed
EPS	Earnings per share
Dividend	A share of profit paid to shareholders
Blue chip	A large, well-established, widely held company
Bull / bear market	A long rise / a long fall in prices
Circuit	A daily price limit at which trading can pause
Limit order	An order to trade only at your price or better
Market order	An order to trade immediately at the best price available
GTT	Good-Till-Triggered — an order that waits until a price is reached
SIP	Systematic Investment Plan — investing a fixed sum at fixed intervals
STT	Securities Transaction Tax, charged on exchange trades
LTCG / STCG	Long-term / short-term capital gains
AMC	Annual Maintenance Charge on a demat account
BSDA	Basic Services Demat Account, with reduced or zero AMC
IPO	Initial Public Offering — a company's first sale of shares to the public
F&O;	Futures and Options — derivative contracts
Intraday	Buying and selling the same security on the same day
Screener	A tool that filters listed companies by chosen numbers
SCORES	SEBI's online grievance redress system

Appendix B. The one-page stock checklist

Copy this for every share you consider buying. If you cannot fill a line, that is your answer.

Question	Your answer
Company and symbol	
How it makes money (one sentence)	
Why it survives ten years	
Two biggest risks	

Question	Your answer
P/E now vs its 5-year average	
Debt-to-equity	
5-year sales and profit growth	
Promoter holding and any pledges	
Price I would happily pay	
Weight in my portfolio (%)	

Appendix C. Portfolio tracker

Update this once a month, not once an hour.

Share	Buy price	Qty	Cost	Current price	Value	Gain / loss
Total						

Appendix D. Questions people ask most

How much money do I need to start?

You can start with a few hundred rupees a month through a mutual fund SIP. For direct shares, one share of a large company can cost a few hundred to a few thousand rupees. Start with what you can afford to leave alone for years.

Is it safe to buy shares through an app?

Yes, if the app is run by a SEBI-registered broker. Your shares are held in your own demat account with CDSL or NSDL, not with the broker, so they remain yours even if the broker has trouble.

Do I need to be rich or have a lot of free time?

No. A simple index fund plus a handful of well-understood shares takes a few hours a year to manage. Time in the market matters far more than time spent on the market.

Should I buy shares or mutual funds first?

For most beginners, an index fund first — it spreads risk and costs little. Add direct shares once you have learned to read a company.

What is the biggest mistake beginners make?

Trading too much and holding too little. SEBI's data shows most people who trade frequently lose money, while patient investors historically do far better.

Can I lose more than I invest?

In the cash market, no — the most you can lose is what you paid. In derivatives such as futures and options, yes, because of leverage. That is one more reason this book keeps beginners in the cash market.

How often should I check my portfolio?

Once a month is plenty for most people. Watching prices daily encourages the exact behaviour that loses money.

Do I have to pay tax if I make a small profit?

The first Rs 1,25,000 of long-term gains each year is exempt. Short-term gains are taxed at 20 percent with no such exemption, so holding longer is also a tax decision.

What if the market crashes after I invest?

If your money is in good businesses and you do not need it soon, the fall is temporary on paper. Keep your SIP running, avoid panic selling, and wait.

Is this book investment advice?

No. It is education. It explains how the market works so you can make your own decisions. For advice tailored to your situation, consult a SEBI-registered investment adviser.

Appendix E. Ten myths about the market, corrected

The myth	The reality
The stock market is gambling	Betting on short-term price moves is speculation; owning profitable businesses for years is investing
You need a lot of money to start	A monthly SIP can begin at a few hundred rupees
A low-priced share is cheap	Price alone says nothing; judge price against earnings and the business
You cannot lose money in the long run	You can — companies fail. Quality and diversification reduce risk, not remove it
Insider tips are reliable	Unregistered advice is illegal and often fraudulent; SEBI has fined such operators
F&O is a fast way to grow money	87.7% of individual F&O traders lost money in FY 2026
More trading means more profit	Costs and taxes mean frequent trading usually means less
Mutual funds are for people who do not understand stocks	Index funds beat most active investors over long periods
The market is rigged against small investors	The small investor's edge is time, which institutions rarely have
You must act when the market falls	Often the best action is none at all

Appendix F. Sources

Every figure in this playbook comes from one of the following official or primary sources, current as of October 2026.

- SEBI — Analysis of Profits and Losses in the Equity Derivatives Segment (FY22-FY24); Profitability of Individual Traders in the Equity Derivatives Segment (FY25-FY26); Analysis of Intraday Trading by Individuals in Equity Cash Segment.
- SEBI — Circulars on the T+1 and optional T+0 settlement cycles; Order in the matter of unregistered investment advisory activities (April 2026); Investment Advisers Regulations, 2013 and Research Analysts Regulations, 2014.
- NSE and BSE — Securities Transaction Tax rates effective 1 April 2026; T+0 FAQs.
- AMFI — Categorisation of Large, Mid and Small Cap Stocks (list effective July 2026).
- CDSL and NSDL — investor account disclosures (August 2026); NSE market pulse and investor statistics.
- Income-tax Act, 2025 and the Finance Act, 2026 — capital gains provisions.
- Investor education material published by SEBI's investor portal.

A final word

The market does not owe anyone a return, and no one can promise you one. What it does offer, to those who are patient and honest with themselves, is a share in the growth of real businesses. Learn the basics, keep your costs low, stay invested, and give compounding the one thing it needs most: time. That is the whole playbook.